WEEK 7 · LECTURE L1 OF 3 · UNIT III

The Analytics Ladder

Four kinds of question, from what happened to what we should do, and where HR really stands.

Part 1 Cold calls on a finding from your pod's D1

Part 2 Descriptive, diagnostic, predictive, prescriptive

Part 3 Where HR realistically sits, and why

Read Marler and Boudreau (2017); Fitz-enz and Mattox (2014), Chapters 1 and 2

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PART 1 · COLD CALLS

Three questions on your pod's D1

1 · The finding

Which single figure in your D1 carried the most weight, and which tab and column did it come from?

2 · The level

Was that figure a description of what happened, or a claim about why?

3 · The gap

What would you need to know to predict, rather than describe?

THE POINT

Any member may be called. A figure the pod cannot trace back to its source is not evidence.

PART 2 · THE LADDER

Four rungs of analytic questions

Rung	The question	A GreenLeaf question at this rung
Descriptive	What happened?	How many staff exited last year?
Diagnostic	Why did it happen?	Why do staff under weak managers leave more often?
Predictive	What is likely to happen?	Who is likely to leave next quarter?
Prescriptive	What should we do?	Which managers should be coached first?

NOT THE SAME AS BERSIN

Bersin's ladder in Round 1 grades an organization's analytics maturity. This ladder grades the kind of question being asked.

PART 3 · WHERE HR SITS

Prediction resting on a foundation that does not exist

What GreenLeaf runs

A predictive flight-risk model that flags employees as High or Low risk.

What it stands on

The People Analytics process sits at maturity level 1, 10% automated, with no owner.

The consequence

Prediction without clean description cannot be checked. Round 4 found the model wrongly flags most young stayers.

THE LESSON

Climb the ladder in order. A firm that cannot count its exits reliably should not be predicting them. Source: Digital_HR_Maturity.

PART 3 · A LEADING INDICATOR

Is engagement a warning signal for exits?

Engagement score (1 to 5)	Exit rate
Below 2.5	46.2%
2.5 to 3.5	20.4%
Above 3.5	10.0%

READ IT

Attrition is lagging: it counts people already gone. Engagement is leading: it moves first. Formula: COUNTIFS on PeopleAnalytics_Fact columns G and O, divided by COUNTIF on G.

Going deeper: the theory underneath the analytics ladder

The next slides set out Davenport, Harris and Shapiro on talent analytics, Marler and Boudreau's evidence review, Rasmussen and Ulrich on the analytics fad, and the logic of prediction: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · DAVENPORT, HARRIS AND SHAPIRO (2010)

Leading firms treat talent decisions as investments

THE CORE IDEA

Talent analytics runs from simple facts to optimization of the talent supply chain.

HOW IT WORKS

Six uses, from simple to advanced: human capital facts, analytical HR, investment analysis, workforce forecasts, talent value models, talent supply chain.

LIMITS AND CRITIQUE

Written from case studies of large, data-rich firms such as Google and Harrah's.

AT GREENLEAF GreenLeaf is still at human capital facts: it cannot yet produce one trusted headcount.

THEORY IN DEPTH · MARLER AND BOUDREAU (2017)

The evidence for HR analytics is thinner than the hype

THE CORE IDEA

A review of peer-reviewed studies found few rigorous tests of whether HR analytics improves results.

HOW IT WORKS

Value depends on linking HR data to business outcomes and on HR's own analytical capability.

LIMITS AND CRITIQUE

Published evidence lags practice; absence of evidence is not evidence of no effect.

AT GREENLEAF

Before buying more analytics tools, GreenLeaf needs someone who can frame a question.

THEORY IN DEPTH · RASMUSSEN AND ULRICH (2015)

Analytics should start with a business problem

THE CORE IDEA

HR analytics risks becoming a management fad if it starts from available data rather than decisions.

HOW IT WORKS

Begin with a business challenge, then find the data and method that answer it.

LIMITS AND CRITIQUE

Some discovery does come from exploring data; the warning is against exploration with no purpose.

AT GREENLEAF Start from "why are Tier 3 stores losing people?", not from "what can InsightHR show?"

THEORY IN DEPTH · SHMUELI (2010)

To explain or to predict: two different goals

THE CORE IDEA

Models built to explain causes and models built to predict outcomes are judged differently.

HOW IT WORKS

Prediction rewards accuracy on new data; explanation needs variables that truly cause the outcome.

LIMITS AND CRITIQUE

Many HR studies blur the two and claim causes from predictive accuracy.

AT GREENLEAF A flight-risk model can predict well and still give managers no idea what to change.

TAKEAWAYS

Three things to carry out of this lecture

1

Know which rung your question is on before you answer it.

2

Prediction needs a reliable description underneath it.

3

Leading indicators let you act before the loss.

NEXT Evidence-based HR and what a real KPI is.